

But I will tell you! Hey, you are getting screwed here. You should refinance your old mortgage loan.

Re-Fi

Let's illustrate with an example. Ed and Sue bought their home five years ago for \$300,000, with a variable rate mortgage. Their original monthly mortgage payment was \$2500. Now that five years have rolled by, interest rates have gone up as well as their principal. They are now paying \$3100 per month, and the balance is \$315,000.

Refinancing
your mortgage
could save
you thousands!

So what is the solution to this mess? Ed and Sue should keep paying the \$3100, the amount of the monthly payment they are currently paying now. They should shop around and refinance the mortgage to a fixed rate. The rate they have now is astronomical. The lower rate at the beginning of the mortgage is long gone and they are now paying as high as 12%. Ed and Sue can find a fixed rate mortgage for 6% or 7%. As we have seen, that will make a remarkable reduction in the amount of interest being paid. That one simple solution saves a boatload of bucks. Enough to go buy a new boat. Or a new business.

By losing the old variable rate loan and switching to a new fixed rate loan, their principal will not go up, their balance will not go up, and their monthly payments will not go up. Their peace of mind will go up. They will continue to make the same monthly payment as always and now they will pay off their home much, much faster.

If you have a variable rate mortgage, what is your rate? What should you do? Refinance!

Another benefit of refinancing is that required piece of the puzzle – the appraisal. After a few years have gone by, most people's homes have appreciated in value. The new appraisal can help you by showing that you now have a home with a higher market value, and you have greater equity in it. This can lead to a better interest rate for you. Always try for the lowest interest rate available. It never hurts to ask!